Q2 2023

Web3 Development Report

alchemy

TL;DR

The state of web3 development

Q2 Executive Summary

- **Web3 Devs:** SDK installs and EVM smart contracts continued to climb, pointing to healthy developer activity
- **DeFi + NFTs:** Consumer DeFi and NFT trading volumes slumped, but the number of DeFi users is up 35% Q/Q
- **Three Transitions:** Security, account abstraction, and ZK-rollups gain traction following Vitalik's Three Transitions
- **Account Abstraction:** Active Account Abstraction users surge 27,360% as ERC-4337 gains traction
- **Testnets:** Sepolia will soon be the preferred developer testnet as Goerli supply dries up

Web3 dev activity continued to climb 📈

Y/Y and Q/Q comparisons highlight sustained growth in dev activity.

26.8M

Ethereum SDK installs

+37% Y/Y +7% Q/Q

11.1M

Wallet SDK installs

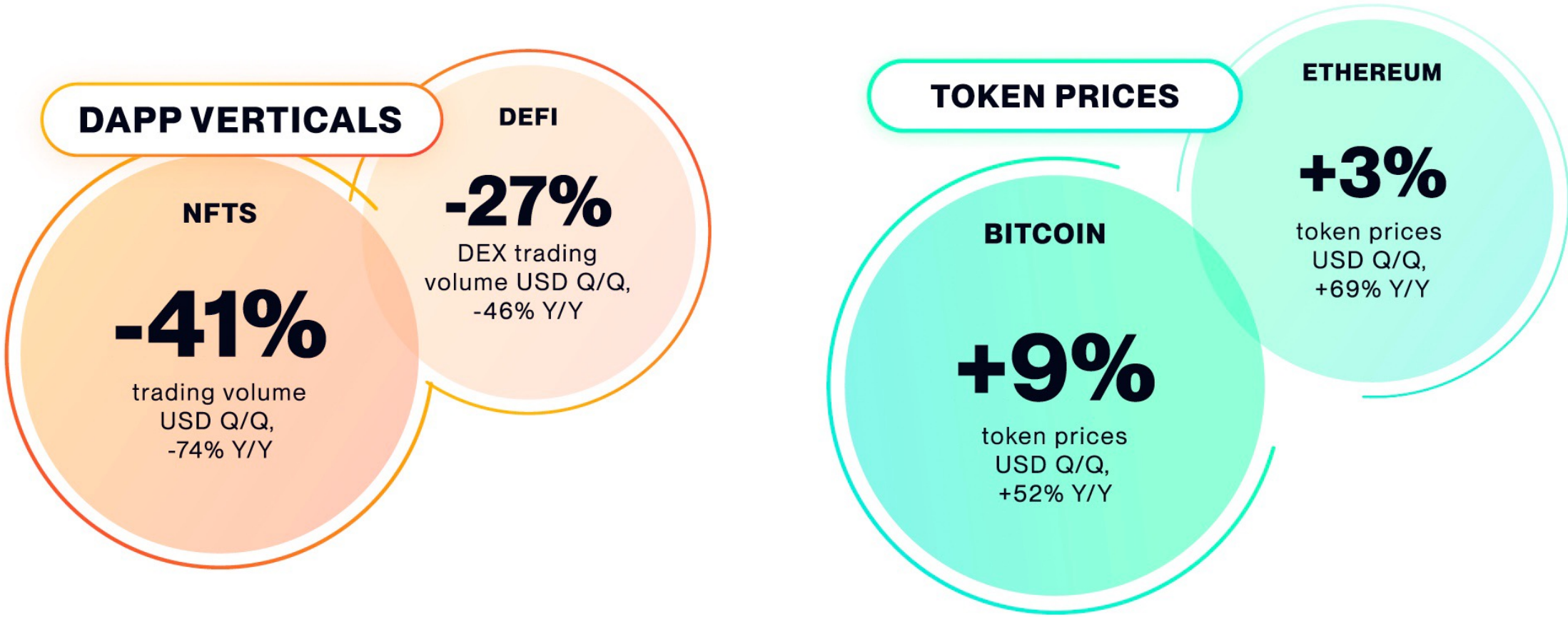
+196% Y/Y +22% Q/Q

75.9M

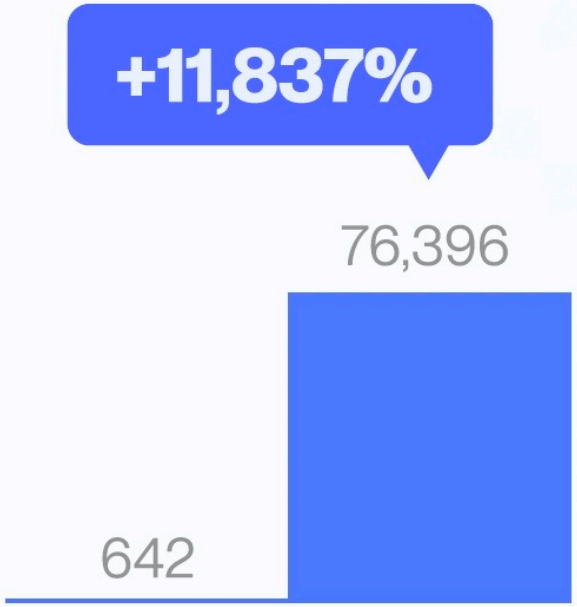
EVM Smart Contracts created across Ethereum Mainnet, Arbitrum, Optimism and Polygon

+1,106% Y/Y +302% Q/Q

Trading volume dips, but token prices improve



ERC-4337 takes off 🚀



Account Abstraction quarterly UserOps



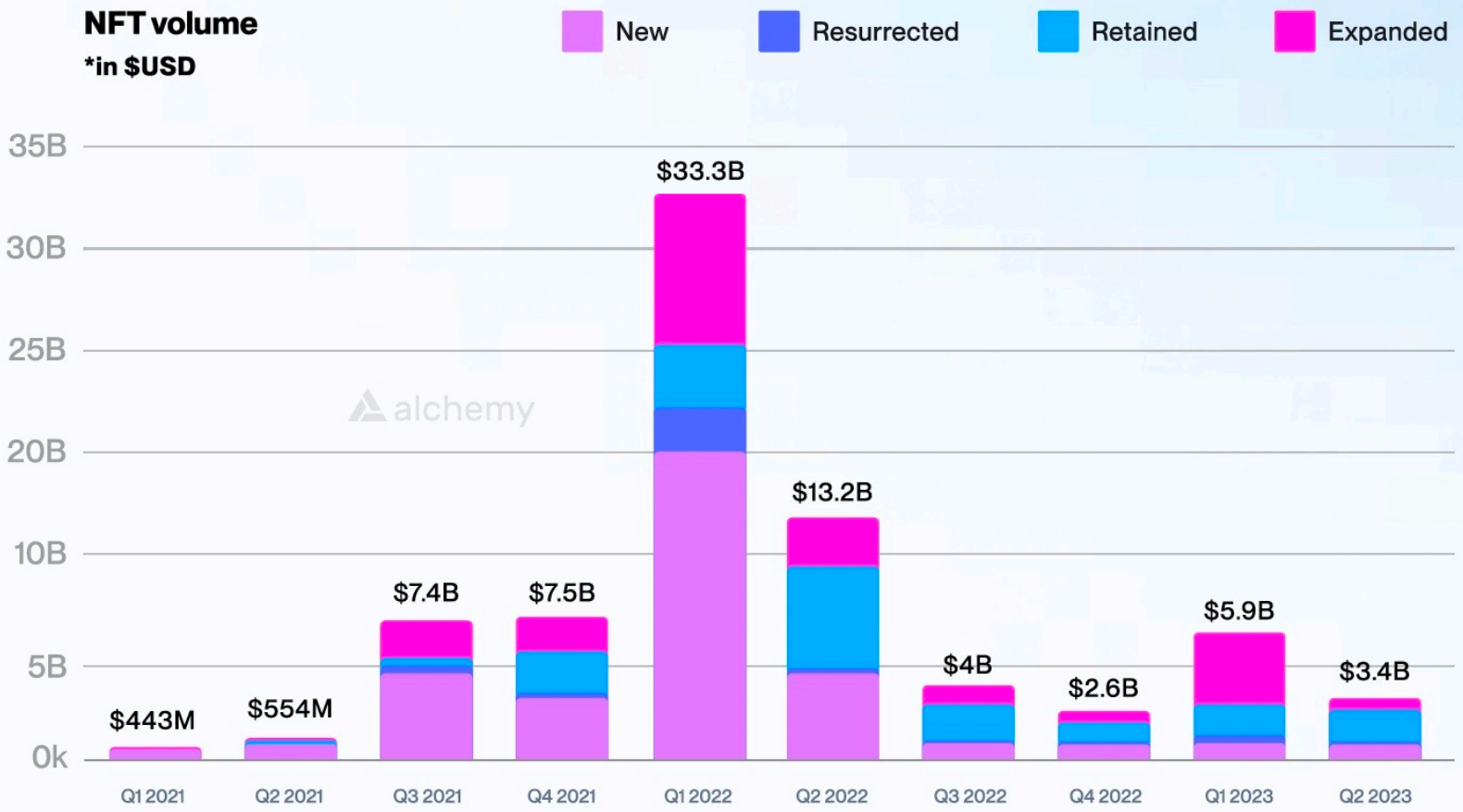
Account Abstraction quarterly active users



Account Abstraction quarterly paymaster volume in USD

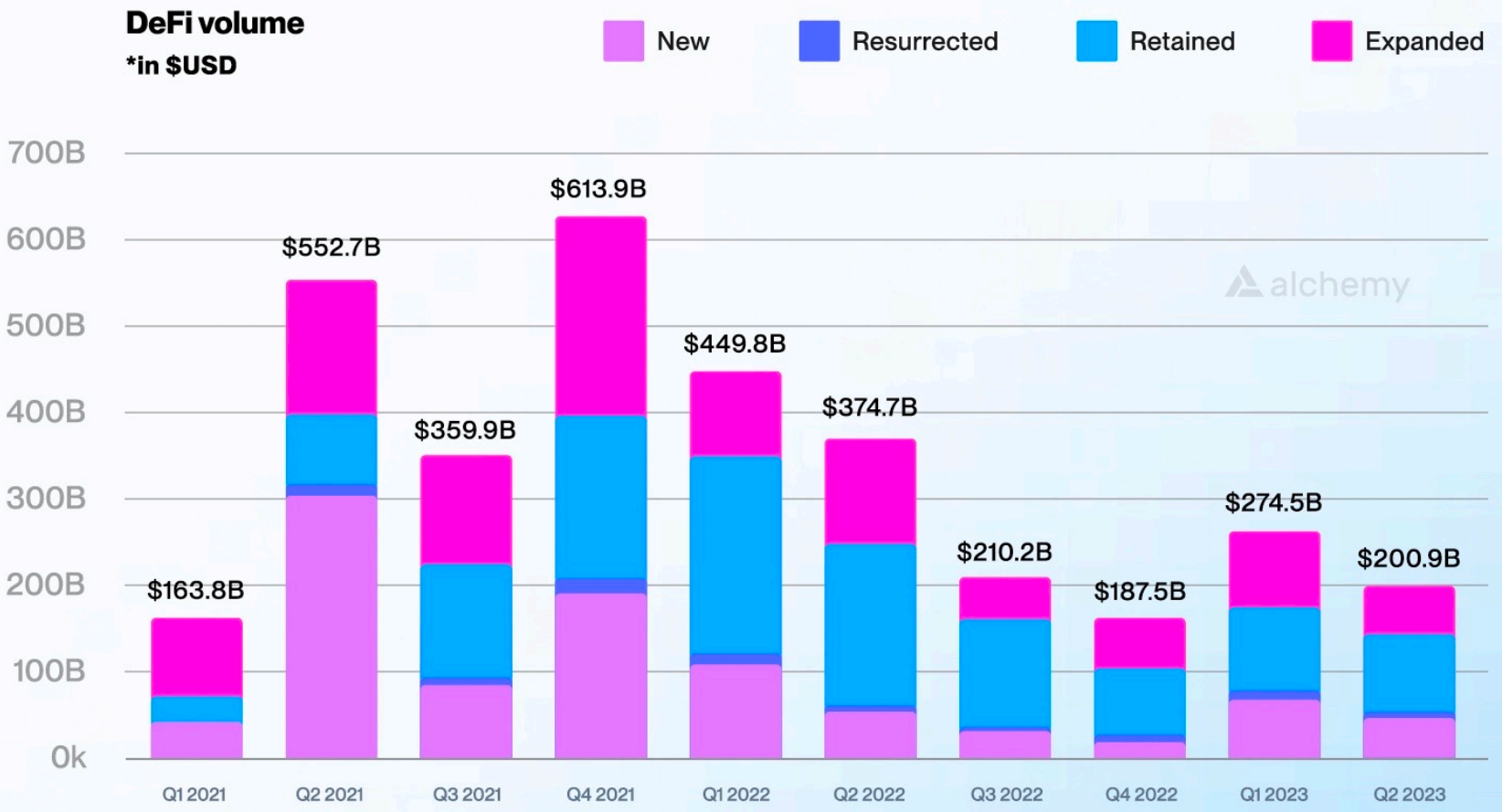
Source: Dune, 0xKofi

NFT volume down -42% Q/Q



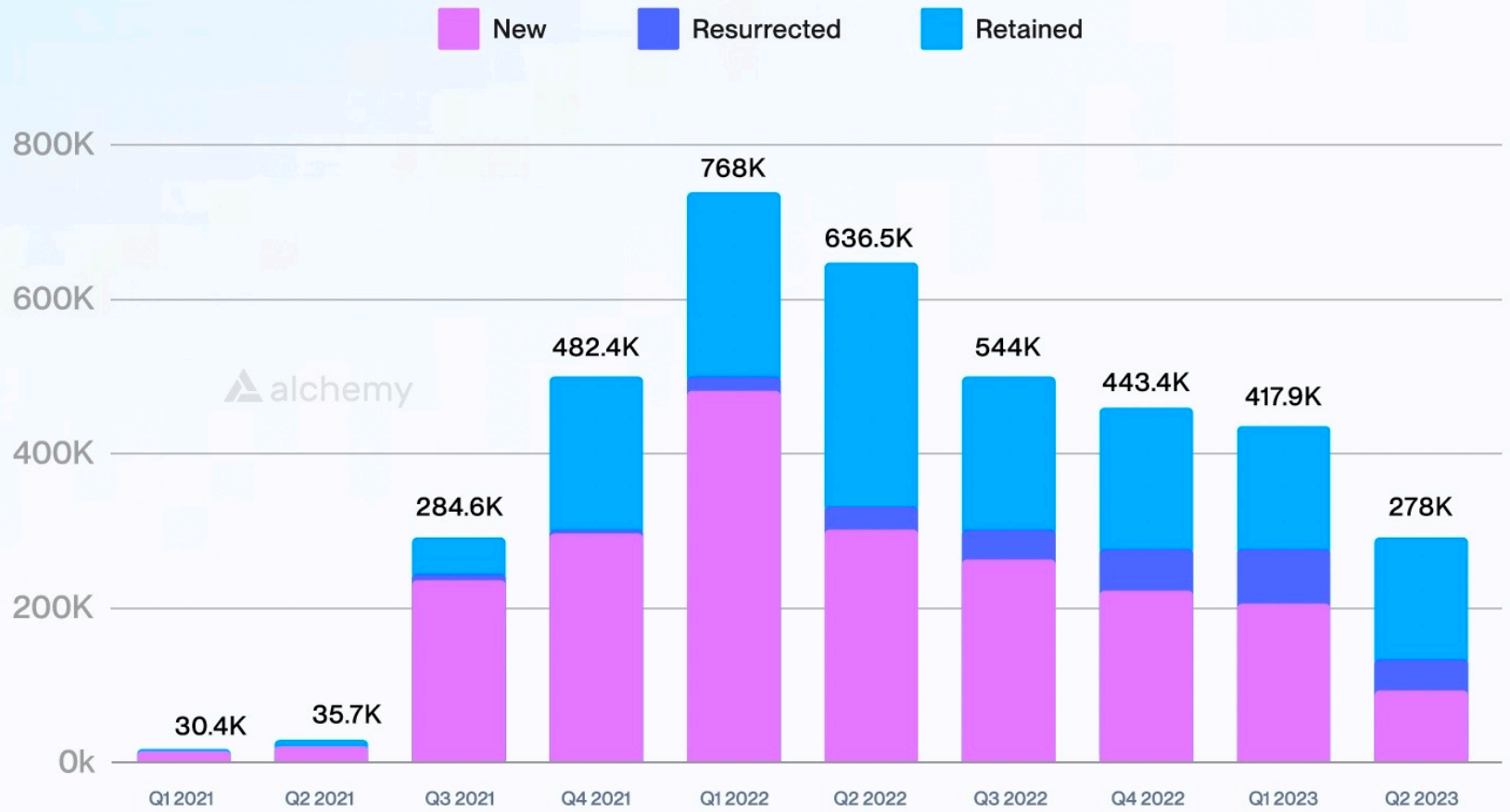
Source: Dune

DeFi volume down -27% Q/Q



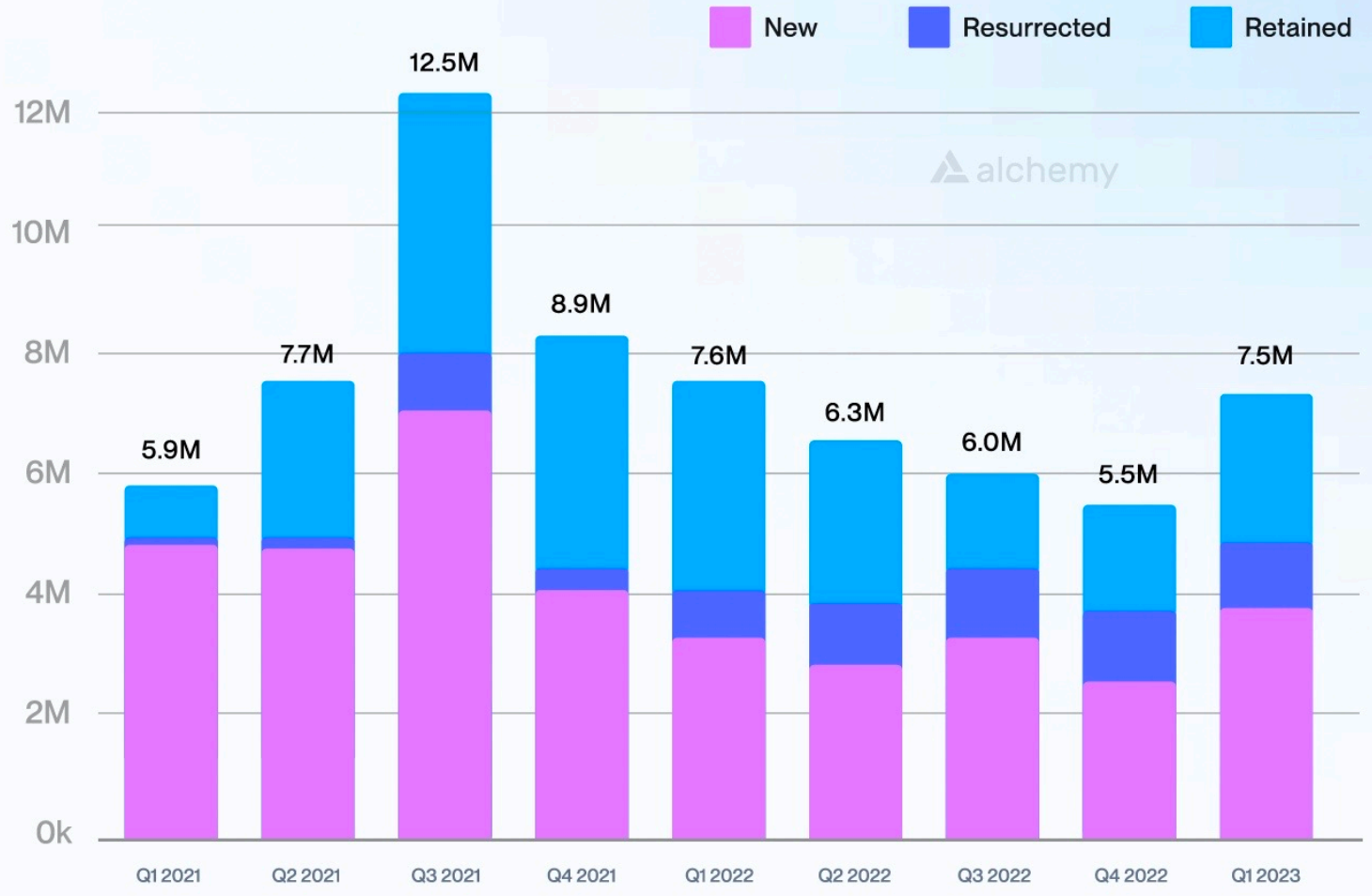
Source: Dune

NFT users down -33% Q/Q



Source: Dune

DeFi users up +35% Q/Q



Source: Dune

Alchemy Q2 Developer Survey

“What are the top obstacles to growth in the next year?”

People viewed funding as a bigger barrier to growth than regulation.

1. Funding
2. Awareness
3. Regulation
4. Resource Bandwidth

Alchemy Q2 Developer Survey

“What topic in web3 are you most interested in?”

People were more interested in security and scalability than general tech trends like AI.

1. Smart contract security
2. Account abstraction
3. ZK-rollups
4. Smart contract development
5. AI

Web3 use cases in action

Fashion

Nike launched Our Force 1, an NFT experience that digitizes the option to buy a shoe as an NFT until it is redeemed for a physical shoe.

Social

Lens Protocol, the decentralized social media app, launched Momoka, its Optimistic L3 scaling solution that will process transactions at hyperscale.

Gaming

Google Play now allows developers to integrate blockchain-based experiences including NFTs and the use of tokenized assets within its apps and games.